22. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and six months ended June 30, 2015 and 2014 are calculated as follows:

(1) Common stock

(In millions of Korean won and thousands of shares, except per share data)	June 30, 2015		June 30, 2014	
	3 Months	6 Months	3 Months	6 Months
Net income as reported on the statements of income	₩ 5,626,734	₩ 10,146,057	₩ 6,176,506	₩ 13,661,186
Net income available for common stock	4,885,804	8,809,979	5,363,204	11,862,372
Weighted-average number of common shares outstanding	129,313	129,387	130,960	130,942
Basic earnings per share (in Korean won)	₩ 37,783	₩ 68,090	₩ 40,953	₩ 90,593

(2) Preferred stock

(In millions of Korean won and thousands of shares, except per share data)	June 30, 2015		June 30, 2014	
	3 Months	6 Months	3 Months	6 Months
Net income as reported on the statements of income	₩ 5,626,734	₩ 10,146,057	₩ 6,176,506	₩ 13,661,186
Net income available for preferred stock	740,930	1,336,078	813,302	1,798,814
Weighted-average number of preferred shares outstanding	19,604	19,614	19,854	19,854
Basic earnings per preferred share (in Korean won)	₩ 37,795	₩ 68,118	₩ 40,965	₩ 90,603

(B) Diluted earnings per share

The Group has one category of potentially dilutive ordinary shares: stock options. Dilutive earnings per share is calculated by adjusting the weighted average number of ordinary shares outstanding to assume conversion of all dilutive potential ordinary shares.

Diluted earnings per share for the three and six months ended June 30, 2015 and 2014 are calculated as follows:

(1) Common stock

(In millions of Korean won and thousands of shares, except per share data	June 30, 2015		June 30, 2014	
	3 Months	6 Months	3 Months	6 Months
Net income available for common stock and common stock equivalents	₩ 4,885,829	₩ 8,810,023	₩ 5,363,227	₩ 11,862,545
Weighted-average number of shares of common stock and common stock equivalents	129,315	129,390	130,964	130,956
Diluted earnings per share (in Korean won)	₩ 37,782	₩ 68,089	₩ 40,952	₩ 90,584

(2) Preferred stock

(In millions of Korean won and thousands of shares, except per share data	June 30, 2015		June 30, 2014	
	3 Months	6 Months	3 Months	6 Months
Net income available for preferred stock and preferred stock equivalents	₩ 740,905	₩ 1,336,034	₩ 813,279	₩ 1,798,641
Weighted-average number of shares of preferred stock and preferred stock equivalents	19,604	19,614	19,854	19,854
Diluted earnings per preferred share (in Korean won)	₩ 37,794	₩68,116	₩ 40,964	₩ 90,595

23. Cash Flows Generated from Operating Activities

Adjustments and changes in assets and liabilities arising from operating activities for the six months ended June 30, 2015 and 2014 are as follows:

- Adjustments

(In millions of Korean won)	2015	2014
Adjustments for:		
Income tax expense	₩ 3,468,555	₩ 3,608,854
Finance income	(1,969,355)	(1,935,705)
Finance expense	1,385,416	973,222
Pension	610,294	687,306
Depreciation	9,510,191	8,205,273
Amortization	614,658	532,952
Bad debt expense	161,644	219,298
Dividend income	(110,500)	(1,350,609)
Gain on valuation of equity method	(90,178)	(94,141)
Gain on disposal of property, plant and equipment	(64,403)	(127,747)
Loss on disposal of property, plant and equipment	46,506	91,642
Obsolescence and scrapping of inventories	124,054	463,477
Gain on disposal of investments	(193,609)	(125,213)
Gain on disposal of assets classified as held-for-sale	(207,796)	-
Loss on disposal of assets classified as held-for-sale	-	723,869
Other income/expense	(143,377)	(429,737)
Adjustments, total	₩ 13,142,100	₩ 11,442,741